

says Ghosh. In case the distance covered by the plan is exhausted, the policyholder can top it up. “For customers with multiple cars or car owners who drive short distances to work, PAYD plans offer a great price benefit. The exact discount depends on the car’s model, its age, and place of registration. Some insurers also provide an additional reward during renewal. Therefore, if a car owner is sure about lower vehicle usage during the policy year, it is wise to choose to pay the insurance premium as per the actual usage,” says Akarsh Sharma, Head of Product-Motor Insurance at Policybazaar.com.

BEHAVIOUR MATTERS

If, like Gupta, you too are a careful driver, you could look at a variation of PAYD policies called ‘pay how you use’ (PHYU) that charge a premium based on your driving behaviour. Like in PAYD, under this add-on, too, behaviour and other metrics are tracked. “Based on driving behaviour, the algorithm calculates an internal score that in turn allows the underwriters to accurately price this add-on. The launch of connected cars in India is a perfect case for PAYD offerings as they provide quality information about driving behaviour and patterns to the insurer,” says Subhasish Mazumder, President & Head-Motor Distribution at Bajaj Allianz General Insurance.

Then there are plans that offer a further customisation. They allow you to switch your policy on and off. Zuno General Insurance’s SWITCH is one such on-demand policy. Say, you are out of the city and not driving, you can switch off the policy and save on insurance costs. Customers are given a driving score based on parameters such as over-speeding, distracted driving, sudden braking, etc. In addition, policyholders no longer need to switch on the policy if they use their car; the app will do it for

them. There is no distance range here—since it can be switched on and off, it is based on daily usage.

TREAD CAUTIOUSLY

One important point to note is that the discount is given only on the OD part of your car and not the entire amount of the motor insurance premium. Hence, if you are paying a premium of ₹5,000 (₹3,000 for OD premium and ₹2,000 for third-party premium), then a discount of 5-25 per cent will be given only on the OD part, which works out to ₹150-750. Motor insurance con-

information; this doesn’t seem to be a challenge given the existing relationship between the insured and the insurer, which anyway requires sharing of the insured’s data while taking up the policy,” says Ghosh of HDFC ERGO.

Besides, some PAYD policies might enforce limitations on specific types of driving, including driving during peak hours or in high-risk areas. Additionally, there could be a cost element involved if you have to instal the telematics device in your car. “One must know which party is responsible for the installation, maintenance and



THE PAYD ADD-ON CAN BE PURCHASED AT THE TIME OF RENEWAL OR WHILE BUYING A NEW MOTOR INSURANCE POLICY, EITHER DIRECTLY FROM THE INSURER OR ONLINE. ALL THAT THE CUSTOMER NEEDS TO DO IS FILL UP A FORM PROVIDING THEIR PERSONAL DETAILS AND THOSE OF THE VEHICLE BEING INSURED

sists of two parts—the OD component takes care of the car in case of accident or theft, while third-party insurance covers any liability arising from injury or death of a third party in a road accident.

Another point to keep in mind is privacy. This is because your data will be shared with the insurer and can be used to decide premium rates, especially if you are a rash driver. Insurers, for their part, say they are mindful of the privacy concerns of their customers. “Currently in India, for PAYD, data sharing is restricted to odometer readings and no other personal

potential removal of the device. Customers should also familiarise themselves with the policy’s terms, regarding changes, modifications or cancellations. They should be aware of any fees or penalties that may be applied if they need to make adjustments or terminate the policy,” says Indraneel Chatterjee, Co-founder of RenewBuy, an insurance aggregator platform.

Coming back to Gupta, he does have options like PAYD, but he needs to read the fine print before he takes the plunge. **BT**

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